

Introduction

This project evaluated the intrinsic firm value of Fairwood Holdings to assess its strategic expansion into the Greater Bay Area (GBA) market and maintain its current market share in the Hong Kong local market.

Comparable Company Analysis

1. DuPont Analysis

Fairwood Holdings shows a low Net Income Margin (around 1%), high Asset Turnover (rise to 1.45 times in 2026) and high Equity Multiplier (3.24 in 2026) compared to peers, which indicates a low profitable, efficient and a high leveraged capital structure.

2. Profitability Analysis

The company maintains stable, positive profitability, with Return on Equity (ROE) reaching 6.29% and EBITDA Margin hitting 19.42% by 2026, demonstrating resilient operational efficiency and reliable earnings growth.

3. Working Capital Analysis

Fairwood Holdings maintains an efficient operational cycle, with Days Account Receivable tightly managed at 2.95 days and Days Inventory maintains at 7.07 days by 2026. This drives a highly negative Cash Conversion Cycle (-42.30 days), giving the company superior structural working capital advantages over its peers.

4. Liquidity Analysis

The Current Ratio sits at 0.89 and Quick Ratio at 0.39 in 2026, which is slightly lower than its peers. Fairwood Holdings needs to improve the management the short-term asset to mitigate the credit risk and default risk.

5. Solvency Analysis

With Total Debt declining to \$950 million by 2026, Fairwood Holdings exhibits strong solvency health. Its Debt-to-Equity ratio slightly decrease to 1.42, while a solid Interest Coverage Ratio of 2.58 times proves its operating profits comfortably cover finance costs, reflecting a balanced and sustainable long-term capital structure.

Valuation Methodology & Core Inputs

A 2-stage Free Cash Flow to Firm (FCFF) model with a 5-year explicit forecast horizon (FY27–FY31) is implemented into the valuation. WACC of 5.99% is derived based on a Cost of Equity of 10.45% and after-tax Cost of Debt 2.85%. Cost of debt and leverage include the finance leases so as to reflect the capitalization of operational restaurant leases under IFRS 16. The Perpetuity Gordon Growth Method with a Terminal Growth Rate of 2.08% is applied, which based on the inflation rates for Hong Kong and Mainland China.

Outputs & Valuation Conclusion

The projected FCFF ranges from \$451 million (FY2027) to \$494 million (FY2031), driven by strategic GBA fast-food restaurant business expansion. Total Firm Value is valued at \$11.7 billion, including Present Value of Terminal Value of \$9.7 billion.

DCF Model and Sensitivity Analysis

DCF Model	Year 1	Year 2	Year 3	Year 4	Year 5	Terminal Value	Parameter	Value
in millions HKD	31-Mar-27	31-Mar-28	31-Mar-29	31-Mar-30	31-Mar-31		Risk-Free Rate	2.31%
Revenue (Hong Kong segment)	3,028.082	3,099.820	3,170.705	3,243.176	3,311.283	3,380.820	Beta	1.68
Revenue (China segment)	186.956	197.893	204.554	209.760	213.535	217.379	Equity Risk Premium (ERP)	4.85%
EBITDA	624.427	640.484	655.545	670.631	684.593	698.845	Cost of Equity	10.45%
Depreciation and Amortisation	537.007	550.816	563.769	576.743	588.750	601.006	Cost of Debt (after-tax)	2.85%
EBIT	87.420	89.668	91.776	93.888	95.843	97.838	Debt-to-equity Ratio	1.42
Income tax	14.856	15.253	15.616	15.976	16.308	16.646	Weighted-Average Cost of Capital	5.99%
After-tax Income	609.570	625.231	639.929	654.655	668.285	682.199	Terminal Growth Rate	2.08%
Capital Expenditure	158.428	162.502	166.324	170.151	173.693	177.309	Tax Rate	17.01%
Free Cash Flow to debt and equity	451.142	462.729	473.606	484.504	494.591	504.889		
Year	1	2	3	4	5	Terminal		
Discounted Free Cash Flow	425.660	411.932	397.800	383.967	369.822	9668.526		
Value of the Firm						11657.708		

Growth Rate	in millions HKD						WACC					
	11657.708	4.99%	5.49%	5.99%	6.49%	6.99%	7.51%	6.75%	5.99%	5.23%	4.47%	
1.08%	12167.501	10780.757	9676.581	8776.624	8029.050							
1.58%	13651.711	11901.470	10548.190	9470.598	8592.253							
2.08%	15645.959	13350.838	11642.717	10321.936	9270.163							
2.58%	18467.696	15298.270	13058.219	11391.007	10101.793							
3.08%	22766.781	18053.765	14960.148	12773.589	11146.116							

Growth Rate	in millions HKD						WACC					
	11657.708	38.71%	48.71%	58.71%	68.71%	78.71%						
1.08%	7378.387	8375.997	9682.999	11469.559	14058.636							
1.58%	7839.839	8998.026	10555.955	12763.623	16134.369							
2.08%	8386.319	9753.339	11652.359	14468.942	19079.900							
2.58%	9043.713	10689.916	13070.594	16818.603	23586.840							
3.08%	9849.601	11881.906	14976.738	20262.854	31344.473							